

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

REHABILITATION & DEVELOPMENT AGREEMENT

Draft project-delivery framework for preservation, design, construction, activation, public covenants and measured performance

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It does not create a binding investment, lease, escrow, tax-credit, development or public-conveyance obligation unless and until definitive agreements are approved and executed by authorized parties. Programmed benchmarks and transaction-efficiency goals are design targets to be measured, not achieved results, forecasts, guarantees, or representations of savings or return.

Document code: DOC-07

1. Parties and Project

This draft contemplates a definitive rehabilitation and development agreement among the Public Grantee/Owner (TBD), the long-term Project Operator or Rehabilitation Vehicle (TBD), and any Development Manager/Construction Manager designated in the final structure. It is intended to govern the rehabilitation and phased activation of the Federal Building & U.S. Courthouse at 312 N. Spring Street, subject to a lawful federal conveyance and NPS/public-owner approvals.

The current project remains in diligence. The working \$153M federal capital-maintenance reference is not a verified project construction budget; the project currently uses an approximately \$200M–\$240M preliminary all-in capitalization envelope solely for planning pending independent scope validation.

2. Development Objectives

- Preserve the historic asset and satisfy all federal deed, NPS, public-owner and applicable local requirements.
- Stabilize and rehabilitate building systems, life-safety, accessibility and critical deferred maintenance based on verified condition assessments.
- Create compatible public-benefit and revenue-producing uses that support long-term preservation and operations.
- Use phased activation so safe, approved portions of the building can begin serving public purposes when legally and operationally feasible.
- Create measurable local workforce, training, small-business and community participation opportunities without representing private ownership of the public deed.
- Use the project as PPT-EZ-CA-0001, the first measured reference transaction for TitleChain/M5 workflow, cost, timing, transparency and capital-efficiency benchmarks.

3. Conditions to Notice to Proceed

Gate	Required evidence / status
Public control	Applicable federal conveyance/public-owner authority documented.
Preservation	NPS/public-owner preservation and use framework sufficiently approved for the relevant phase.
Scope	Existing-condition and rehabilitation scope accepted for the phase.
Budget	Approved phase budget, funding source and contingency.
Design	Required design approvals, permits and professional stamps.
Environment	Required environmental/hazardous-material plans and clearances.
Insurance / bonds	Required policies, bonds and certificates in force.
Contractors	Licensing, procurement, conflicts and required qualifications verified.
Capital	Required funded/committed capital available under draw agreement.
Authority state	Named human signatories and M5-CV authority credentials/references verified.

4. Scope of Work and Phasing

The scope will be established in a Project Development Plan and updated by approved amendments. The initial workstreams should include:

- title/survey and retained-rights coordination;
- historic preservation and architectural documentation;
- structural/seismic assessment and stabilization;
- façade, windows, roof and envelope;
- elevators and vertical transportation;
- electrical, plumbing, HVAC and controls;
- fire/life-safety and accessibility;
- environmental/hazardous-material remediation;
- security, communications and resilient building infrastructure;
- tenant transition and phased occupancy;
- public-benefit program build-out and compatible revenue uses;
- commissioning, closeout, training and operations transition.

5. Design and Preservation Controls

- Design must conform to applicable NPS/Secretary of the Interior standards, federal deed requirements, public-owner approvals and applicable codes.
- No material alteration affecting protected historic fabric proceeds without required review/approval.
- Design changes are version-controlled. TitleChain may store document references/hashes and approval state, but stamped plans and official approvals remain legally authoritative.

6. Project Budget and Cost Control

Working use	Planning amount / treatment
Federal capital-maintenance reference	\$153.0M diligence anchor; not a verified contractor budget.
Architecture/engineering/preservation + PM	\$15.3M working base assumption.
Construction contingency	\$18.4M working base assumption.
Predevelopment/diligence	\$4.6M working base assumption.
Legal/tax/financing/transaction structuring	\$4.6M working base assumption.
Permits/testing/commissioning	\$3.1M working base assumption.
Insurance/bonding	\$3.8M working base assumption.
Financing/carrying allowance	\$9.2M working base assumption.
Startup/operating reserve	\$6.1M working base assumption.
Digital transaction/audit infrastructure	\$1.5M allowance, subject to procurement.
Working all-in capitalization	~\$219.6M base; external communication range ~\$200M–\$240M pending diligence.

All values above are working assumptions. The definitive budget must reconcile to physical-condition reports, approved plans, contractor pricing, tax-credit eligibility, contingencies and financing requirements.

7. Procurement, Contractors and Local Participation

- Procurement must comply with applicable public-owner, grant, tax-credit and financing rules; no “local preference” is promised unless lawful and authorized.
- Project documents may establish goals for qualified local small businesses, apprenticeships, workforce training, restoration trades and community operators.
- Worker participation rights are separate from fee title. Any co-op, patronage, profit-sharing or security interest must be separately documented and reviewed.
- M5-CV may record verified role/skill/authority credentials and work attestations; payroll, labor law and contractor records remain authoritative in their respective systems.

8. Schedule, Milestones and Delay

The initial milestone schedule is TBD after GSA/NPS/public-owner and physical-condition diligence. Milestones should include federal/public approvals, design packages, environmental phases, stabilization, major systems, phased occupancy, substantial completion and final completion. Delay responsibility, excusable delay, force majeure and liquidated damages (if any) are reserved for negotiation.

9. Change Control

- No material scope, budget, schedule, preservation or funding change is effective without the approvals required by the final authority matrix.
- M5Canon may enforce deterministic change-control conditions in the digital workflow; the executed written amendment/change order remains controlling.
- Jev/LLM tools may flag conflicts, summarize impacts or route exceptions but do not approve change orders.

10. Compliance, Safety and Quality

- building code and permitting;
- historic-preservation requirements;
- environmental and hazardous-material rules;
- worker health and safety;
- prevailing wage/public works requirements if applicable;
- accessibility and life-safety;
- insurance/bonding;
- tax-credit compliance;
- grant/funder restrictions;
- record retention and audit.

11. TitleChain / M5 Project Controls

The parties intend to use the TitleChain/M5 protocol as a parallel evidence and transaction-state layer inspired by TitleChain's patented asset provenance/title-transfer methods. The system may register asset identity, current public-record title state, authority credentials, restrictions, approved documents, milestones, draw events, and transfer/lease state. The digital title-state token is intended as a non-fractional representation of the recorded state; it does not replace the deed, county/federal record, or legal instrument.

Programmed Benchmark Objectives

These baseline assumptions are deliberately programmed into the project as performance goals. They are intended to be measured transaction by transaction and updated as the PPT portfolio grows. They are not historical results, guaranteed savings, or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; no assumption that legally required services disappear
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after actual comparable cost categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where structure and risk reduction permit	Spread, fees, effective annualized cost, reserve burden
Third-party system/agent duplication	TBD baseline mapping	Minimize duplicated systems and repeated context transfer	Vendor count, connectors, model calls, reconciliation events

13. Completion, Turnover and Operations

- Substantial/final completion standards and punch-list procedure: TBD.
- Closeout package should include warranties, as-builts, O&M manuals, permits, approvals, tax-credit/NPS records, lien releases and final cost report.
- Operational handoff requires approved staffing, maintenance plan, insurance, reserve funding, safety systems and revenue/tenant readiness.

14. Defaults, Suspension and Termination

Definitive documents should address material default, cure periods, stop-work rights, emergency action, federal/public-owner remedies, reversion-related risks, termination, transition assistance and treatment of funded improvements. No private party should be represented as having foreclosure or fee-title rights unless expressly lawful and documented.

15. Draft Signature Blocks

Party	Name / Title	Signature / Date
Public Grantee / Owner	TBD	_____

Party	Name / Title	Signature / Date
Project Operator / Rehabilitation Vehicle	TBD	_____
Development Manager / Construction Manager	TBD	_____

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, public-grantee structure, diligence list, occupancy and \$153M capital-maintenance reference.
- National Park Service, Historic Surplus Property Program: eligible public recipients may acquire qualifying historic surplus property at no cost; private/nonprofit operators may participate through NPS-approved long-term leases.
- IRS Rehabilitation Credit / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; lessee eligibility and lease-term requirements require tax counsel.
- CDFI Fund, New Markets Tax Credit Program: the investor credit totals 39% of the qualified equity investment over seven years through certified CDE structures; project/CDE eligibility remains to be established.
- U.S. Patent Nos. 11,720,888 and 12,518,273, “Decentralized title transfer and validation of assets”: distributed-ledger methods for recording asset provenance, ownership history, and transactions. Project implementation and patent-claim applicability remain subject to counsel.
- All project schedule, budget, procurement, labor and construction terms remain subject to public-owner requirements, definitive design, physical-condition diligence and project-specific counsel.

M5Canon v0.2 Updates

Digital Evidence and Permit/Inspection Events

- Environmental sensors, inspection systems, contractors and professional certifiers may publish signed evidence into TitleChain. M5Canon can test completeness and consistency but cannot issue permits, occupancy approvals or professional certifications.
- Where participating agencies support authenticated digital notices, M5-DPC may carry permit status, inspection results, cure notices and accepted responses into the project state graph.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.